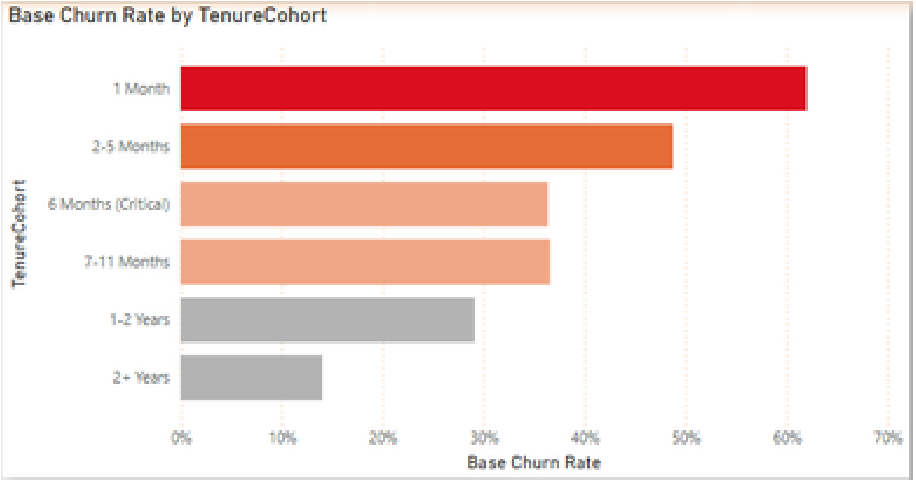
1. **Key Insight 1: Churn based on tenure**

- Highest churn rate is in the **1st month i.e. 61.99%** (if there were a total of 1869 churned customers, then 62% of them had left within one month of joining - Trial, honeymoon period). A high churn rate in the 1st month indicates poor customer onboarding or a mismatch between marketing and the actual product.
- It is followed by **48.73% within the tenure of 2-5 months** (if there were 1158 remaining churned customers in the beginning of 2nd tenure of 2-5 months, then 49% left by the end). As per the 3-month moving average, the long-term structural trends shows that the churn trend begins with a steeper slope indicating higher churn in the first few months, slowly moving downwards, with the increasing tenure of the customer.

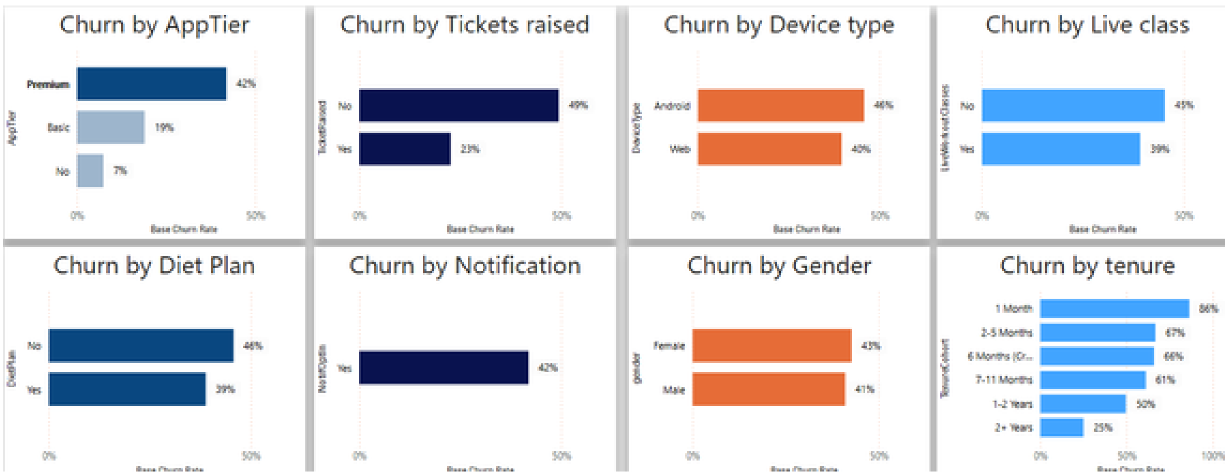


2. **Key Insights 2: Churn based on monetary factors**

- By pricing plan / contract type – More than **88%** churned were buying **month-to-month** subscription plans.
- By payment method – Around **77%** among those who churned in the first month itself were using **UPI**, followed by Digital wallets and Bank transfer (automatic) at 50-52%. For overall tenure periods, UPI users have churned at highest with 45%, while rest payment methods were equally distributed.
- By average expenditure – People who churned had spent on an average more than those who didn't churned (scatter plot with trend line). **Around 42% churned customers had a premium plan, among those 86% churned in the first month itself**. This might suggest a huge gap between the offer and the real quality or usability of the product for the target. Meaning either they did not get what they believed they will or they were just not the right audience for it.

3. **Key Insight 3: Customer segmentation analysis**

- Support ticket volume – Only a total 15.17% had raised tickets. No info on tickets resolved.
- Rest columns of Device type, Live classes, Diet plan, Notification opt in and Gender gave following understanding about patterns of those who churned –
- For premium members, who churned, all of them had allowed notification reminders, most of them had services like live workout classes and diet plan. Therefore, there was initial engagement with the platform and an expectation of certain outcome, i.e. becoming healthy, most probably by building a habit or routine with the help of the app.



4. **Conclusion and the Why:**

Based on the available data, it can be said that the App failed in delivering what it promised its users to achieve, certainly a healthy routine, a holistic approach towards health with relaxation and meditation or offering a fun way to work towards their health goals.

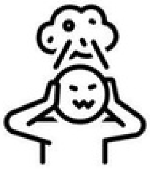
Consumer personas:

Therefore, below observations have been gained from the limited data about the consumer personas. There is no cut-to-cut distinction of customer segments within the data. The traits given may be overlapping (a consumer may have 2-3 traits of these) but from recommendation's perspective, they can be studied in isolation to make strategies for a vast section of customers in one way or the other.

Persona 1: Shop-hoppers (Priority) – Quality over quantity

Month-to-month plan buyers just test the grounds with different apps and their loyalty depends on whether they are receiving enough value for their money or not. This segment includes premium buyers and more importantly those who were actively engaged with the app in the first month and had raised tickets in the past. Therefore, delivering high quality services for building loyalty and push to convert into longer plans is a necessity.

Persona 2: Impulsive action takers (Important) - Goal focused



This segment is the one who immediately splurges a lot to bring quick changes in their regimes but fails to follow through or self-regulate towards the goals (Honey-moon period phase lovers). They might include the premium members and those who had opted in for the notifications but failed to follow through, not due to quality issues but mere dysregulation.

Therefore, aim to help them in building habits by offering free trial services for a comparatively longer period of time i.e. rather than the usual 14 days for everyone, give them 21 days. With strategic habit building cues from the app, they have the potential to convert into longer subscriptions and simply not churn much earlier.

Persona 3: Slugabed (Nice to have) –

Consumers with basic plan have mostly not raised any tickets, did not took live classes, diet plan or opted in for notifications. While on the other hand, premium ones have raised more complaints comparatively and had opted in for notifications. Premium ones being more engaged, faced more challenges, hence dropped off the App. Whereas, basic ones are engaging less with app, hence churned lesser. They are either more satisfied with the app or are slouching on their goals by doing less / nothing.

They may sooner or later drop due to their inactivity. Pushing more reminders and offers through notifications will not work as they have already opted out of it. It is better to keep serving them through ads for building presence of app and keep sharing cues to make them feel like a community. This is more of a long-term thing.

Persona 4: Money bleeders (Not important) –

They see an ad, they like it, they open the app and click buy. Such consumers might seem like impulsive action takers but are different. They do not start with a motive of getting fitter or changing their health, they start by getting infatuated by the idea given by an app. The time they realize their unrequited expense, they drop off. Therefore, an exaggerating 77% of those using UPI churned in the first month (caveat: this includes people from above segments as well, no clear distinction as per the given data).

These are not your customers. But the challenge is to identify them because a UPI user will definitely be falling in above 3 segments, being 77% churn. To segregate your target group from this section, ask your customers while onboarding or during exit, a few questions on their motives to join the app. Do include options which can highlight their obliviousness towards the motive of the platform such as

1. “Where do you know us from? Ans. Link shared by a friend and
2. What do you plan on to do here? Ans. Just explore or see if it works.

Something on the similar lines but more cognitive.

Further analysis on the brand imagery, customer persona and their pain points can be gathered with the help of an exit survey or detailed customer interviews.

5. **Actionable recommendations:**

"Because 62% of our churn occurs within the first month and correlates with low value for money, we recommend

1. **ALL TIME**: Launching a mandatory 3-part onboarding email sequence for all customers and understanding their motives to join the platform. With this, try to segregate the customers into given 4 segments.
2. **IMMEDIATE**: Working on product improvement via streamlining navigation in app and restructuring services offered to retain segment 1 customers. Get more info on customer experience to build repeatable systems to identify improvement opportunities.
3. **SHORT-TERM**: Offering a 21-day free premium plan for segment 2 customers rather than the usual 14-day trial and a 15% discount for users who upgrade to an annual plan.
4. **LONG-TERM**: Segment 3 – increase engagement through community building habits and monetary benefits. Keep showing up through ads before 7 days of beginning of every month.

Term	Priority	Segment	Recommendation
Always	High	All	Mandatory 3-part email sequence
Immediately	High	Priority	Product improvement through better services
Short-term	Medium	Important	21-day free premium plan
Long-term	Low	Nice to have	Increase community level engagements

6. **Risk prediction:**

In future, through a predictive churn model, we may get a “high-risk segment” to empower proactive customer success outreach, to practically realize the long-term recommendation.